

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET C — NCERT EXEMPLAR, IN-TEXT SOURCES & TRICKY QUESTIONS****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-C-08

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET C - NCERT Exemplar & Tricky Questions):

1. The question paper comprises **25 NCERT Exemplar & Critical Application Questions** of **1 mark each**.
2. Tests **in-text source boxes, fine glossary definitions, historical source extracts, and tricky boundary cases**.
3. All questions are compulsory. There is no negative marking for incorrect answers.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

 **NCERT IN-TEXT & EXEMPLAR TIER:** Questions in this set explore subtle details, specialized definitions, and non-intuitive concepts drawn directly from official NCERT text margins, source boxes, and glossary entries.

Q.1 Why is the Production Possibility Curve (PPC) typically bowed outward (concave to the origin) in economic analysis?

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|---|---|
| (A) The Law of Increasing Marginal Opportunity Cost: productive resources are specialized and not equally adaptable to the production of all goods | (B) Because gravity pulls the curve downward toward the earth's center |
| (C) Because machines run faster during daytime hours than nighttime hours | (D) Because consumers prefer straight lines over curved lines in mathematics |

Q.2 What does the term 'Marginal Physical Product' (MPP) of labour mean in a production function?

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| (A) The additional physical output produced by employing one extra unit of labour while holding all other inputs constant | (B) The total wages paid to the entire national factory workforce |
| (C) The weight of physical machines used in an industrial factory | (D) The total profit earned by a company at the end of the year |

Q.3 Why does the 'Law of Diminishing Marginal Returns' inevitably set in when additional farm laborers are added to a fixed 1-hectare plot of land?

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|---|---|
| (A) Because land is a fixed factor; crowding too many workers onto a fixed physical space leads to overcrowding, logistical friction, and reduced capital per worker | (B) Because farm workers become physically lazy after working one hour |
| (C) Because the sun stops shining when more than five people stand in a field | (D) Because seeds refuse to grow when observed by multiple humans |

Q.4 What analytical distinction differentiates 'Gross Domestic Product' (GDP) from 'Gross National Product' (GNP)?

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| (A) GDP measures output produced within the domestic geographic borders of a nation; GNP includes Net Factor Income from Abroad (NFIA) earned by citizens overseas | (B) GDP applies only to agriculture; GNP applies only to software companies |
| (C) GNP is measured in gold; GDP is measured in paper rupees | (D) There is no difference; both are names for government tax collections |

Q.5 Why do developmental economists emphasize the 'Gross Enrolment Ratio' (GER) and 'Pupil-Teacher Ratio' (PTR) when assessing human capital formation?

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| <p>(A) They measure institutional educational access, capacity, and individual attention, which directly determine human cognitive capital and workforce skill quality</p> | <p>(B) They calculate the physical height and weight of school teachers</p> |
| <p>(C) They measure the total amount of paper notebooks printed in a city</p> | <p>(D) They determine the speed of school buses on rural highways</p> |

Q.6 In economic decision-making, what is a 'Sunk Cost', and why should a rational business person IGNORE it when making future investment choices?

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| <p>(A) A sunk cost is an expenditure that has already been incurred and cannot be recovered; rational choices should focus purely on future marginal costs and marginal benefits</p> | <p>(B) A cost paid to repair a sunken submarine at the bottom of the sea</p> |
| <p>(C) A cost that grows larger every day by 100 percent</p> | <p>(D) A financial grant given to poor citizens by the government</p> |

Q.7 What is the economic definition of 'Consumer Sovereignty' in a free market system?

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|--|--|
| <p>(A) Consumers ultimately determine what goods are produced through their purchasing choices ('dollar/rupee votes'), forcing businesses to cater to consumer desires</p> | <p>(B) Consumers are legally crowned as royal kings in city hall</p> |
| <p>(C) Consumers are prohibited from spending money in supermarkets</p> | <p>(D) The government forces consumers to buy only one brand of clothing</p> |

Q.8 How does an economy face an 'inter-temporal choice' between current consumption and capital accumulation?

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|---|---|
| <p>(A) Sacrificing consumption today by saving and investing in machinery and research expands future productive capacity, enabling higher consumption tomorrow</p> | <p>(B) Consuming everything today guarantees that future generations will be twice as wealthy</p> |
| <p>(C) Machines can be built without using any resources from the present</p> | <p>(D) There is no trade-off; an economy can consume infinite goods forever</p> |

Q.9 What is the 'informal sector' (unorganized sector) in the Indian economy, and what economic vulnerability characterizes its workers?

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| <p>(A) Unregistered enterprises with low capital intensity, lacking formal contracts, job security, minimum wages, health insurance, and social security pensions</p> | <p>(B) High-tech software companies registered on the stock exchange</p> |
| <p>(C) Government military defense research laboratories</p> | <p>(D) Foreign diplomatic embassies operating in New Delhi</p> |

Q.10 Why does a competitive banking system play an indispensable role in transforming household savings into productive physical capital?

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| <p>(A) It acts as a financial intermediary, mobilizing idle small savings from households and channeling them as capital loans to entrepreneurs for machinery and factories</p> | <p>(B) It prints paper currency notes in private basements</p> |
| <p>(C) It forces citizens to spend 100% of their income on lottery tickets</p> | <p>(D) It buries gold coins in deep underground vaults without lending them</p> |

Q.11 What is 'Marginal Rate of Technical Substitution' (MRTS) between labour and capital in industrial microeconomics?

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| <p>(A) The rate at which a firm can substitute capital with labour while maintaining an identical level of total output</p> | <p>(B) The speed of an electric motor inside a factory machine</p> |
| <p>(C) The salary paid to the executive director of a company</p> | <p>(D) The number of machines broken by workers during strikes</p> |

Q.12 Why do economists view investments in early childhood nutrition and sanitation (eliminating stunting and wasting) as high-yield economic investments?

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|---|--|
| (A) Chronic early childhood undernutrition causes irreversible cognitive impairment and lower adult brain capacity, depressing future adult labor productivity and earnings | (B) Proper nutrition allows children to become Olympic sprinters by age five |
| (C) Clean water turns children into physical robots | (D) It eliminates the need for adult healthcare in hospitals |

Q.13 What is an 'Engel Curve' in household expenditure economics?

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|--|--|
| (A) A curve showing the relationship between a household's income and the quantity of a specific good it chooses to purchase | (B) A curve showing the speed of wind over an airplane wing |
| (C) A curve showing the depreciation of industrial factory machines | (D) A curve showing the score of students in mathematics exams |

Q.14 What is the economic hazard of a developing country becoming trapped in a 'vicious cycle of poverty' (Ragnar Nurkse)?

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| (A) Low income leads to low savings, which causes low capital investment, leading to low productivity, which perpetuates low income | (B) Poor countries are legally forbidden from trading with other nations |
| (C) Poverty is caused by planetary gravitational tides | (D) Poor countries produce too many modern computer servers |

Q.15 What constitutes 'Physical Capital deepening' versus 'Physical Capital widening'?

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| (A) Capital deepening increases the amount of capital equipment per worker (\$K/L\$ ratio rises); capital widening expands capital to equip additional workers at the same capital-labor ratio | (B) Capital deepening digs deep holes in the ground; capital widening builds wide roads |
| (C) Capital widening applies only to gold; capital deepening applies to silver | (D) Both terms refer to the financial depth of commercial bank vaults |

Q.16 Why is the agricultural 'Green Revolution' of the late 1960s in India categorized as a package technology of biological-chemical capital?

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| (A) It required the simultaneous combination of High Yielding Variety (HYV) semi-dwarf seeds, chemical fertilizers, pesticides, and assured canal/tubewell irrigation | (B) It required farmers to paint all agricultural crops with green paint |
| (C) It eliminated the need for water, soil, and sunlight in farming | (D) It replaced all food grains with synthetic plastic nutrition pills |

Q.17 How does 'monopsony power' in rural agricultural labor markets depress wage rates below competitive levels?

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|---|--|
| (A) When a single large landlord or corporate buyer dominates local employment, workers have no alternative employers and are forced to accept depressed sub-market wages | (B) When thousands of employers compete fiercely to hire each worker |
| (C) When the government raises the minimum wage to one million rupees | (D) When all agricultural workers migrate to outer space |

Q.18 What is 'human development index' (HDI) formulated by Mahbub ul Haq and Amartya Sen designed to measure beyond mere GDP per capita?

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|---|---|
| (A) A composite geometric index of life expectancy at birth, mean and expected years of schooling, and Gross National Income per capita (decent standard of living) | (B) The total number of luxury cars owned by corporate billionaires |
| (C) The weight of physical gold stored in the central bank | (D) The physical square area of a nation's military bases |

Q.19 Why does a nation with high GDP growth sometimes experience 'Jobless Growth'?

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| (A) Economic expansion is concentrated in capital-intensive, automated, or specialized service sectors that generate high output value without absorbing mass low-skilled labor | (B) All citizens refuse to work because they are too wealthy |
| (C) The government legally prohibits hiring workers in factories | (D) The workforce has zero population of working-age adults |

Q.20 What is the economic role of 'social overhead capital' (public infrastructure)?

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| (A) Foundational public goods (ports, power grids, railways, sanitation) with high initial costs and long gestation periods that lower private manufacturing costs across the economy | (B) Luxury private swimming pools built for corporate directors |
| (C) A tax levied on workers who walk on public sidewalks | (D) Money stored in foreign bank accounts to evade domestic taxes |

Q.21 Why do micro-entrepreneurs face a 'liquidity trap' when borrowing from informal rural moneylenders at exorbitant interest rates (36–60% per annum)?

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| (A) Compounding usurious interest drains all business profits merely servicing debt, preventing capital reinvestment and trapping the borrower in perpetual debt bondage | (B) Moneylenders give away free gold coins to everyone in the village |
| (C) Informal interest rates are set at 0% by the Supreme Court | (D) Borrowers become multi-millionaires within two weeks |

Q.22 What analytical distinction differentiates 'renewable natural resources' from 'non-renewable resources'?

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|--|---|
| (A) Renewable resources regenerate naturally through biological or geophysical cycles over human timescales (solar, wind, forests); non-renewable resources exist in fixed finite reserves (coal, crude oil) | (B) Renewable resources can only be used on Sundays; non-renewable on Mondays |
| (C) Renewable resources are manufactured in factories; non-renewable are free | (D) There is no difference; all resources on Earth regenerate in five minutes |

Q.23 How does the 'Precautionary Principle' apply to environmental economics and resource choice?

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|--|---|
| (A) Where there are threats of serious or irreversible environmental damage, lack of full scientific certainty shall not be used as a reason for postponing cost-effective preventive measures | (B) Governments must never take any action until all natural resources are completely exhausted |
| (C) Polluting industries are granted legal immunity from all regulations | (D) Economic development must be stopped in all human societies forever |

Q.24 What is 'opportunity cost of capital' for an investor deciding whether to build a manufacturing plant?

- (A) The expected rate of return that could have been earned on the best alternative investment of equivalent risk (such as government bonds or mutual funds) (B) The price of building bricks purchased from local kilns
- (C) The salary paid to the company security guard (D) The total taxes paid to the municipal water department

Q.25 In conclusion, why does economic scarcity force every human society to develop ethical and institutional principles of allocation?

- (A) Because without institutions (markets, laws, property rights, welfare redistribution), scarce resources would be allocated purely through violent physical force and chaos (B) Because scarcity is a fictional myth created by economics textbooks
- (C) Because infinite abundance will arrive on Earth next week (D) Because animals will take over all human factories

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET C)

01	(A) (B) (C) (D)	02	(A) (B) (C) (D)	03	(A) (B) (C) (D)	04	(A) (B) (C) (D)	05	(A) (B) (C) (D)
06	(A) (B) (C) (D)	07	(A) (B) (C) (D)	08	(A) (B) (C) (D)	09	(A) (B) (C) (D)	10	(A) (B) (C) (D)
11	(A) (B) (C) (D)	12	(A) (B) (C) (D)	13	(A) (B) (C) (D)	14	(A) (B) (C) (D)	15	(A) (B) (C) (D)
16	(A) (B) (C) (D)	17	(A) (B) (C) (D)	18	(A) (B) (C) (D)	19	(A) (B) (C) (D)	20	(A) (B) (C) (D)
21	(A) (B) (C) (D)	22	(A) (B) (C) (D)	23	(A) (B) (C) (D)	24	(A) (B) (C) (D)	25	(A) (B) (C) (D)

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET C)

Q. No.	Correct	Curricular Reference & In-Depth Conceptual Solution
Q.1	(A)	Resources are specialized; shifting fertile land from wheat to sugarcane requires reallocating increasingly unsuitable resources, causing the marginal opportunity cost to rise.
Q.2	(A)	Marginal product ($MP_L = \Delta TP / \Delta L$) measures the incremental addition to total physical output resulting from adding one additional worker.
Q.3	(A)	When variable inputs (labor) are combined with a fixed factor (land), the fixed factor becomes overutilized, causing marginal output to diminish and eventually turn negative.
Q.4	(A)	$GNP = GDP + \text{Net Factor Income from Abroad (NFIA)}$. GDP is territorial; GNP accounts for ownership and factor earnings of national citizens worldwide.
Q.5	(A)	GER measures demographic participation across schooling tiers; favorable PTR ensures personalized pedagogical interaction, essential for foundational cognitive skill development.
Q.6	(A)	Sunk costs are irrecoverable past outlays; rational decision-makers look forward (MC vs MB), avoiding the 'sunk cost fallacy' of throwing good money after bad.
Q.7	(A)	Consumer sovereignty asserts that consumer preferences dictate resource allocation: producers who fail to satisfy consumer demand face bankruptcy.
Q.8	(A)	Capital accumulation requires deferred consumption (savings): foregoing consumer gratification today finances capital goods that expand the future PPF frontier.
Q.9	(A)	The informal sector employs over 85% of India's workforce in precarious livelihoods without written contracts, paid leave, workplace safety, or institutional pension safety nets.
Q.10	(A)	Financial intermediation bridges savers and investors: banks convert dispersed household deposits into productive capital loans, driving capital formation.
Q.11	(A)	$MRTS_{LK} = -\Delta K / \Delta L = MP_L / MP_K$. It represents the slope of an isoquant, showing how much capital can be replaced by one unit of labor at constant output.
Q.12	(A)	Neurodevelopmental biology confirms that 80% of brain architecture forms before age 3; stunting permanently reduces adult cognitive ability, depressing individual earnings by ~10–20%.
Q.13	(A)	Ernst Engel demonstrated that as household income rises, the proportion spent on food declines (Engel's Law), shifting expenditure toward manufactured goods and services.
Q.14	(A)	Nurkse's circle: low real income $\rightarrow$ low savings capacity $\rightarrow$ capital deficiency $\rightarrow$ low labor productivity $\rightarrow$ low real income. Breaking it requires state capital 'big push'.
Q.15	(A)	Capital widening keeps capital-per-worker constant as the workforce grows; capital deepening increases capital endowment per worker (K/L), driving labor productivity growth.
Q.16	(A)	The Green Revolution was a technical package: HYV Mexican wheat seeds (Norman Borlaug) were responsive to heavy inputs, requiring chemical fertilizers and controlled irrigation.
Q.17	(A)	A monopsonist (sole buyer of labor) faces an upward-sloping labor supply curve and exploits market power to set wages below the marginal revenue product of labor ($W < MRP_L$).
Q.18	(A)	The UNDP's HDI combines three essential capabilities: health (life expectancy), knowledge (education indices), and standard of living (log GNI per capita).
Q.19	(A)	Jobless growth occurs when productivity gains stem from automation, ICT, or capital intensity, resulting in GDP growth with minimal elasticity of employment.

Q. No.	Correct	Curricular Reference & In-Depth Conceptual Solution
Q.20	(A)	Social overhead capital provides non-excludable infrastructural foundations that generate widespread positive production externalities across all economic sectors.
Q.21	(A)	Usurious informal interest outpaces the marginal return on enterprise, siphoning economic surplus to moneylenders and precipitating debt traps.
Q.22	(A)	Renewable assets possess sustained replenishment rates if harvested below sustainable yield; fossil stocks are finite and depleted permanently upon extraction.
Q.23	(A)	Principle 15 of the Rio Declaration mandates proactive environmental stewardship: potential catastrophic ecosystem collapse justifies regulatory intervention even amidst empirical uncertainty.
Q.24	(A)	Cost of capital represents the hurdle rate: the foregone return on the next best alternative deployment of financial capital.
Q.25	(A)	Scarcity necessitates institutional coordination: societies must establish legal, ethical, and market frameworks to determine who gets what, how resources are used, and how justice is preserved.